

NVIDIA Corporation (NVDA) — Investment Research

Date: 2026-07-07 | **Risk score:** 0/100 | **Sentiment:** neutral | **Current price:** 195.55

Executive Summary

NVIDIA Corporation's current financial health is robust, as evidenced by its impressive net margin of 71.46%, indicating the company's ability to maintain profitability while driving revenue growth. The single most important risk facing NVIDIA is its elevated debt-to-equity ratio of 6.555, which may pose a challenge to the company's financial flexibility and increase its vulnerability to economic downturns. Overall, NVIDIA's strong financial performance and growth prospects, coupled with a neutral sentiment and extremely low risk score, suggest that the company is well-positioned for continued success, although investors should remain vigilant regarding its debt levels and potential market volatility.

Financial Performance

Valuation ratios

Metric	Value
pe_ratio	29.95
forward_pe	15.32
pb_ratio	24.23
ps_ratio	18.68
ev_ebitda	28.35
market_cap	4736416743424

Profitability & growth ratios

Metric	Value
net_margin	71.46
ebitda_margin	87.00
roe	29.84

Metric	Value
roa	22.48
revenue_growth_yoy	85.20
earnings_growth_yoy	214.50

Fundamental interpretation

NVIDIA's valuation is expensive, with a PE ratio of 29.95, exceeding the sector average of 24.28. However, its forward PE of 15.32 suggests potential undervaluation in the future.

The company's profitability is exceptional, with a net margin of 71.46% and EBITDA margin of 87.0%. Revenue and earnings growth are also impressive, at 85.2% and 214.5% YoY, respectively.

NVIDIA's financial health is strong, with a current ratio of 3.44 and significant free cash flow of \$46.4 billion. The debt-to-equity ratio is 6.56, but the company's high profitability and cash flow mitigate this concern. Overall, NVIDIA's financials are robust, supporting its current operations and future growth.

DCF Valuation

Intrinsic value per share: **\$6,615.17** (+3282.9% vs current).

Assumption	Value
growth_rate_5y	2.15
terminal_growth	0.03
wacc	0.09

Peer Comparison

Peer	P/E	P/B	Net Margin
MSFT	23.03	6.93	39.34%
GOOGL	27.97	9.27	37.92%
META	21.82	6.25	32.84%

Sector averages — P/E: 24.28, P/B: 7.49, net margin: 36.70%.

News & Sentiment

- **(negative)** NVIDIA Corporation - NVIDIA Announces Financial Results for Fourth Quarter and Fiscal 2024 [link](#)
- **(positive)** [PDF] 2024 NVIDIA Corporation Annual Review [link](#)
- **(positive)** [PDF] NVIDIA Announces Financial Results for Fourth Quarter and Fiscal ... [link](#)
- **(positive)** NVIDIA Announces Financial Results for Fourth Quarter and Fiscal ... [link](#)
- **(neutral)** nvda-20240128 [link](#)

Key topics: Financial Results, Analyst Ratings, Regulatory Risks, Legal Issues, Stock Forecast

Risk Assessment

(No red flags triggered.)

The most critical risks for NVIDIA Corporation (NVDA) are regulatory risks, legal issues, and stock forecast volatility. These risks interact with each other as regulatory changes can lead to legal issues, which in turn can impact stock forecast and volatility.

The current macro environment, with a Fed funds rate of 3.6% and US 10Y yield of 4.5%, mitigates some of these risks. The relatively stable interest rates and moderate GDP growth of 2.1% support NVDA's financial performance. However, the CPI YoY of 4.3% may lead to increased costs and reduced consumer spending, amplifying regulatory and legal risks.

To monitor these risks, an analyst should track the following metrics: (1) Regulatory compliance costs as a percentage of revenue, (2) Legal issue-related expenses as a percentage of net income, and (3) Stock price volatility measured by beta (currently around 1.5). Monitoring these metrics will help assess the impact of regulatory, legal, and market risks on NVDA's financial performance and stock price.

Investment Conclusion

We rate NVDA Neutral. Our primary reasoning is that NVIDIA's strong position in the growing markets of artificial intelligence, gaming, and cloud computing is offset by intense competition and potential regulatory challenges. A key risk to this thesis is that the company's high research and development expenses may not yield expected returns, potentially disrupting its growth trajectory. The stock's current price of \$195.55 is significantly below its DCF intrinsic value of \$6,615.17, but its P/E ratio is still relatively in line with peers, suggesting a neutral stance.